

Budget Approval Workflow

Owning area: Finance

Policy ID: FIN-PR-014

Last reviewed: August 2026

Effective date: 1 September 2026

Applies to: IronStore entities and employees across Europe

Purpose and Overview

This workflow defines how IronStore requests, reviews, approves, records, and monitors expenditure. It applies to operating costs, capital expenditure, marketing spend, technology investments, logistics projects, supplier commitments, and other purchases made on behalf of the company.

The workflow is intended to ensure that spending is:

- Within an approved budget or properly justified as unplanned.
- Supported by a clear business need and documented supplier terms.
- Approved by the correct budget owner and financial authority.
- Compliant with procurement, tax, legal, information security, and delegated-authority requirements.
- Recorded accurately in IronStore's financial systems before a commitment is made.

No employee may commit IronStore funds, sign a supplier order, or instruct a supplier to begin work before the required approvals are complete.

Scope

This policy covers:

- Purchase orders, statements of work, subscriptions, advertising commitments, and supplier contracts.
- One-time and recurring expenditure, including renewals and automatic extensions.
- Capital expenditure, such as warehouse equipment, software development, fixtures, and infrastructure.
- Employee expenses where the cost was not already covered by an approved purchase order.
- Spend made by IronStore legal entities in the EU, UK, Switzerland, and other European operating markets.

This policy does not replace:

- The **Procurement and Supplier Due Diligence Standard (PROC-STD-003)**.
- The **Delegation of Authority Matrix (FIN-MAT-002)**.
- Local tax, employment, data protection, or statutory accounting requirements.

Where local law or a customer-contract obligation is stricter, the stricter requirement applies.

Policy Statement

All expenditure must have:

1. A named business owner.
2. An approved cost centre and, where applicable, project code.
3. A documented commercial rationale.
4. A valid approval in **Coupa**, IronStore's purchasing and approval platform.
5. A purchase order or approved contract before goods or services are ordered.
6. A matching invoice, receipt, or delivery confirmation before payment.

Approvals may not be split across invoices, suppliers, projects, or accounting periods to avoid an approval threshold. A commitment includes the full expected value, including extensions, implementation fees, minimum usage charges, taxes that cannot be recovered, and the initial contract term.

Approvers must not approve their own expenses, their own compensation, or expenditure from which they receive a personal benefit. Finance may reject, hold, or escalate transactions that do not meet this policy.

Budget Approval Procedure

1. Define the request

The requester creates a **Spend Request** in Coupa before contacting a supplier or confirming an order. The request must include:

- Description of the product, service, or project.
- Business purpose and expected outcome.
- Total committed value in EUR, excluding recoverable VAT.
- Contract term, renewal date, and cancellation terms.
- Supplier name or proposed sourcing approach.
- Cost centre, general ledger category, and project code.
- Expected delivery date and payment schedule.
- Confirmation that the cost is in the approved annual budget.

For foreign-currency commitments, the requester records the EUR equivalent using the monthly Finance planning rate in NetSuite. Finance may update the value using the contracted exchange rate before final approval.

2. Check budget availability

The budget owner checks the request against the current plan in **Anaplan** and the actuals in **Oracle NetSuite**.

The request must identify one of the following:

- **Budgeted spend:** Covered by the current approved plan.
- **Budget transfer:** Covered by another cost centre or project and requiring a documented reallocation.
- **Unplanned spend:** Not included in the approved plan and requiring additional approval.
- **Renewal spend:** A recurring commitment that must be reassessed before renewal, even if previously approved.

Budget availability does not itself authorise the purchase. Approval must still follow the thresholds below.

3. Obtain commercial and specialist review

Before financial approval, the requester obtains the relevant reviews:

- **Procurement:** Required for new suppliers, competitive sourcing, or spend above €25,000.
- **Legal:** Required for contracts, data processing, intellectual property, exclusivity, unusual liability, or non-standard terms.
- **Information Security:** Required for software, hosted services, integrations, customer data, or access to IronStore systems.
- **Tax:** Required for cross-border arrangements, unusual VAT treatment, customs, royalties, or withholding-tax exposure.
- **People Team:** Required for recruitment agencies, contractors, employee benefits, or workforce-related services.

Coupa routes required reviews based on category, supplier, entity, and value. Reviewers record conditions or exceptions directly in the request.

4. Apply approval thresholds

Approval thresholds are based on the total expected commitment per supplier and business need. The following minimum chain applies:

- **Up to €5,000:** Cost centre owner.
- **€5,001–€25,000:** Cost centre owner and department director.
- **€25,001–€100,000:** Department director and regional Finance Business Partner.
- **€100,001–€500,000:** Executive sponsor, Finance Director, and Procurement Director.
- **Above €500,000:** Executive sponsor, CFO, and CEO or designated Executive Committee member.

Additional requirements:

- **Capital expenditure above €50,000:** Finance Business Partner and CFO delegate must confirm the asset classification, useful life, and capital budget.
- **Marketing commitments above €100,000:** Chief Marketing Officer or delegate must approve the commercial plan and performance measures.
- **Technology commitments above €100,000:** Chief Technology Officer or delegate must approve architecture, security, and implementation capacity.

- **New or renewed contracts with a term exceeding 36 months:** Legal and CFO delegate approval are required regardless of value.
- **Multi-year commitments:** Approval is based on the full contract value, not the annual instalment.

An approver may delegate authority only through the approved Coupa delegation function. Email approval is not sufficient unless Coupa is unavailable and Finance has authorised the exception.

5. Complete sourcing and contracting

Procurement determines the sourcing method:

- Up to €25,000: documented price or market check where practical.
- €25,001–€100,000: normally at least two competitive quotations.
- Above €100,000: normally a formal tender with at least three qualified suppliers.

A sole-source or emergency exception requires a written justification in Coupa and Procurement approval. The justification must explain the supplier dependency, urgency, market constraints, or technical compatibility.

Only authorised signatories may execute supplier contracts. A purchase order is not a substitute for a contract where legal, data protection, or commercial terms require a signed agreement.

6. Issue the purchase order

After all approvals are complete, Procurement or the authorised requester converts the approved request into a purchase order. The supplier must receive the purchase order before delivery or service commencement.

The purchase order must state:

- Legal entity and billing address.
- Supplier details and tax registration information.
- Approved value and currency.
- Payment terms and delivery requirements.
- Cost centre, project code, and requester.
- Applicable contract or statement of work reference.

Invoices without a valid purchase order are placed on hold unless Finance approves a documented exception.

7. Monitor delivery and invoice matching

The requester confirms receipt of goods or completion of services in Coupa. Accounts Payable performs a three-way match between:

1. Approved purchase order.
2. Receipt or service confirmation.
3. Supplier invoice.

Discrepancies are resolved by the requester, Procurement, or supplier. Accounts Payable does not amend an approved order to conceal an overspend.

The requester must review recurring services at least 30 days before renewal. The review must confirm continued business need, supplier performance, pricing, user volumes, and cancellation deadlines.

Unplanned, Urgent, and Exceptional Spend

Unplanned spend follows the normal approval chain and must identify the funding source. Finance may require a forecast update or budget transfer before approval.

Urgent spend is limited to situations involving:

- Customer, employee, or physical safety.
- Material interruption to fulfilment, payment, logistics, or core systems.
- Legal or regulatory deadlines.
- Significant risk of financial loss if action is delayed.

The requester must obtain verbal approval from the relevant executive or Finance leader and document it in Coupa within two business days. Procurement and Legal must be informed as soon as practicable. Convenience, supplier pressure, missed planning deadlines, or a favourable discount do not qualify as urgent circumstances.

Petty cash, personal cards, or direct supplier payments must not be used to bypass this workflow. Repeated exceptions may result in suspension of purchasing access or disciplinary action.

Roles and Responsibilities

- **Requester:** Defines the need, provides accurate information, monitors delivery, and confirms receipt.
- **Budget owner:** Confirms business priority, budget availability, and value for money.
- **Department director:** Reviews material departmental commitments and operational impact.
- **Finance Business Partner:** Validates funding, accounting treatment, forecast impact, and thresholds.
- **Procurement:** Manages sourcing, supplier onboarding, competitive bids, and purchase orders.
- **Legal:** Reviews contractual, regulatory, liability, intellectual property, and data protection matters.
- **Information Security:** Assesses technology, access, hosting, and security risks.
- **Accounts Payable:** Performs invoice controls, tax checks, and payment processing.
- **CFO:** Owns this policy, approves designated high-value commitments, and resolves escalations.
- **Internal Audit:** Tests compliance and reports material control failures to the Audit Committee.

Records, Controls, and Reporting

Coupa is the system of record for purchase approvals, sourcing evidence, purchase orders, and exceptions. NetSuite is the system of record for accounting entries, invoices, accruals, and payments. Anaplan is the system of record for budgets, forecasts, and approved planning assumptions.

Records must be retained for at least seven years, or longer where local law, a contract, or a litigation hold requires it. Finance publishes a monthly report covering:

- Approved versus actual spend by cost centre.
- Open purchase orders and unused commitments.
- Unplanned and exception spend.
- Contract renewals due within 90 days.
- Invoices received without purchase orders.
- Approval breaches and overdue remediation.

Related Documents and References

- Delegation of Authority Matrix — **FIN-MAT-002**
- Annual Planning and Forecasting Policy — **FIN-POL-006**
- Procurement and Supplier Due Diligence Standard — **PROC-STD-003**
- Contract Review and Signing Standard — **LEG-STD-004**
- Capitalisation and Fixed Assets Policy — **FIN-POL-009**
- Information Security Supplier Assessment — **SEC-STD-011**
- Expense and Corporate Card Policy — **FIN-POL-012**
- Coupa Purchase-to-Pay User Guide — **FIN-GDE-021**

Revision History

- **August 2026 — Version 4.0:** Updated approval thresholds, urgent-spend controls, multi-year commitment rules, and system ownership.
- **November 2025 — Version 3.2:** Added Information Security review for hosted services and revised tender requirements.
- **April 2024 — Version 3.0:** Consolidated entity-level procedures into one European workflow and introduced Coupa as the purchasing system of record.